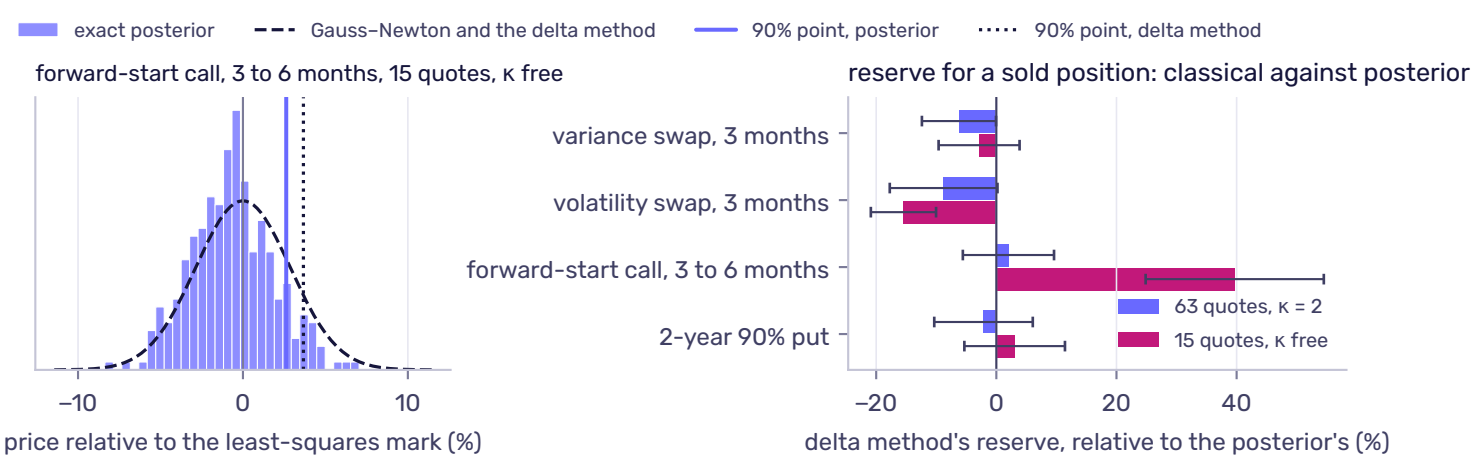
exact posterior
Gauss–Newton and the delta method
90% point, posterior
90% point, delta method
forward-start call, 3 to 6 months, 15 quotes, κ free
−10
0
10
price relative to the least-squares mark (%)
reserve for a sold position: classical against posterior
variance swap, 3 months
volatility swap, 3 months
forward-start call, 3 to 6 months
2-year 90% put
63 quotes, κ = 2
15 quotes, κ free
−20
0
20
40
delta method's reserve, relative to the posterior's (%)